Topic 9 – Markets and Derivatives - Study questions

1 A company enters into an agreement to pay a fixed series of interest payments and a capital sum in one currency, in return for a fixed series of payments and a capital sum in another currency. This type of financial instrument is known as a:

A currency swap
B option
C currency future
D none of the above

2 In which of the following circumstances would it be inappropriate for a company to enter into an interest rate swap?

A the company has a comparative advantage in borrowing at a fixed rate of interest
B the company has a comparative advantage in borrowing at a floating rate of interest
C the company has a floating rate loan and wishes to protect itself against interest rate rises
D the company wishes to create greater flexibility in the eventual settlement of its liabilities

3 Explain why a company may wish to make use of derivatives (assume the company's main business is *not* trading in derivatives).

4 Explain the differences between the risk management characteristics of options as opposed to futures.

5. In spring 2002, an electronically traded futures contract on the stock index, called an E-mini future, was introduced. The contract was one-fifth the size of the standard futures contract, and could be traded on the 24-hour CME Globex electronic trading system. Why might someone introduce a futures contract with these properties?

6. A futures contract on a payment of $250 times the Standard and Poors' 500 Index is traded on the Chicago Mercantile Exchange. At an index level of $1,000 or more, the contract calls for a payment of over $250,000. It is settled by a cash payment between the buyer and the seller. Who are the hedgers and who are the speculators in the S&P 500 futures market?

7. What are the risks and rewards of writing and buying options? Are there any circumstances under which you would get involved? Why or why not? (*Hint:* Think of a case in which you own shares of the stock on which you are considering writing a call.)

8. Why might a borrower who wishes to make fixed interest rate payments and who has access to both fixed- and floating-rate loans still benefit from becoming a party to a fixed-for-floating interest rate swap?